MARKETPLACE REVENUE LEAKAGE & PROFITABILITY GAP ANALYSIS USING SQL

Executive Summary

This project analyzes the overall financial health, operational efficiency, and profitability performance of the marketplace business using SQL-based business analytics.

The analysis focuses on identifying major business gaps between:

- Revenue vs Actual Profit
- Sales Growth vs Margin Stability
- Customer Acquisition vs Profit Leakage
- Operational Expansion vs Cost Efficiency

Although the marketplace may generate strong sales revenue, multiple hidden operational leakages can significantly reduce final profitability.

The study evaluates 15 major business areas including:

- Revenue performance
- Product profitability
- Discount dependency
- Returns impact
- Logistics burden
- Payment fee leakage
- Customer risk behavior
- Margin stability
- Revenue leakage sources

The objective of this GAP analysis is to identify:

- Where profit is being lost
- Why margins are shrinking
- Which operational areas require optimization
- Which products/categories create sustainable profitability
- Which business activities create financial inefficiencies

This analysis supports data-driven strategic decision-making for improving:

- Profitability
- Operational efficiency
- Cost control
- Customer management
- Sustainable business growth

What is GAP Analysis?

GAP Analysis is a business evaluation method used to identify the difference between:

- Current Business Performance AND
- Desired Business Performance

In this project, GAP analysis helps identify:

- Why strong sales are not converting into strong profit
- Which operational factors reduce profitability
- Which areas require immediate business improvement

TASK 1: Revenue vs Profit Reality

Business Objective

To evaluate whether the marketplace is truly profitable or simply generating high sales volume.

GAP Identified

High sales revenue does not always translate into high profit.

Possible gaps:

- High operational costs
- Low margins
- Excessive discounting
- Inefficient pricing strategy
- Poor cost control

Business Risk

The company may appear financially strong from revenue numbers while actual profitability remains weak.

Recommended Actions

- Improve pricing strategy
- Monitor cost-to-revenue ratio

- Reduce operational inefficiencies
- Improve product-level profitability tracking

TASK 2: Category-wise Sales & Profit

Business Objective

To identify which categories truly contribute to business success.

GAP Identified

Some categories generate:

- High revenue but low profit OR
- Lower sales but stronger margins

Business Risk

The business may over-invest in high-volume but low-margin categories.

Recommended Actions

- Promote high-margin categories
- Re-evaluate low-profit categories
- Improve category pricing strategy
- Optimize category-level inventory planning

TASK 3: Loss-Making Products

Business Objective

To identify products that continuously generate losses.

GAP Identified

Certain SKUs may:

- Sell frequently
- But reduce overall profitability

Possible reasons:

- Incorrect pricing
- High procurement cost
- Excessive discounts
- Frequent returns

Business Risk

Loss-making products silently reduce business earnings.

Recommended Actions

- Reprice products
- Negotiate supplier costs
- Remove consistently loss-making SKUs
- Improve product margin tracking

TASK 4: Discount Usage Overview

Business Objective

To evaluate discount dependency across the marketplace.

GAP Identified

Sales growth may depend too heavily on discounts.

Business Risk

Excessive promotions can:

- Reduce profit margins
- Create unsustainable growth
- Train customers to wait for offers

Recommended Actions

- Optimize coupon strategy
- Reduce unnecessary discounts
- Introduce targeted promotions
- Monitor discount ROI

TASK 5: Payment Method Popularity

Business Objective

To understand customer payment behavior.

GAP Identified

Popular payment methods may create:

- High transaction costs
- Operational complexity
- Fee leakage

Business Risk

Highly used payment channels may reduce profitability.

Recommended Actions

- Promote low-cost payment methods
- Negotiate gateway fees
- Improve payment cost analysis
- Reduce dependency on expensive channels

TASK 6: Discount vs Profit Gap

Business Objective

To evaluate whether discounts improve actual profitability.

GAP Identified

Discounts may:

- Increase order volume BUT
- Reduce net profit significantly

Business Risk

Business may confuse sales growth with profitable growth.

Recommended Actions

- Evaluate discount effectiveness
- Improve promotion targeting
- Protect margin stability
- Monitor post-discount profitability

TASK 7: Return Impact on Revenue

Business Objective

To measure financial losses caused by returns.

GAP Identified

Returns reverse:

- Revenue
- Profit
- Logistics efficiency

Business Risk

High return rates create major profitability leakage.

Recommended Actions

- Improve product quality
- Optimize product descriptions
- Reduce reverse logistics burden
- Improve fulfillment accuracy

TASK 8: Return Reason Analysis

Business Objective

To understand why customers return products.

GAP Identified

Customer dissatisfaction may result from:

- Damaged products
- Wrong item delivery
- Poor quality
- Delivery issues

Business Risk

Repeated operational issues increase:

- Returns
- Refund costs
- Customer dissatisfaction

Recommended Actions

- Improve packaging quality
- Improve supplier quality checks
- Optimize logistics operations
- Improve product information accuracy

TASK 9: Logistics Cost Burden

Business Objective

To identify orders with disproportionately high logistics cost.

GAP Identified

Low-value orders may generate:

- High shipping costs
- High reverse logistics expenses

Business Risk

Fulfillment costs may exceed acceptable profit margins.

Recommended Actions

- Introduce minimum order value
- Optimize warehouse allocation
- Improve delivery route planning
- Reduce reverse shipping costs

TASK 10: Payment Fee Leakage

Business Objective

To measure hidden costs caused by payment gateway fees.

GAP Identified

Certain payment methods may:

- Generate strong revenue BUT
- Reduce final profit due to high fees

Business Risk

Payment processing costs silently reduce profitability.

Recommended Actions

- Optimize payment gateway partnerships
- Promote lower-fee payment methods
- Improve fee monitoring systems
- Negotiate better fee structures

TASK 11: Revenue Leakage Breakdown

Business Objective

To identify the largest source of business leakage.

GAP Identified

Multiple leakage sources combine to reduce profitability:

- Discounts
- Returns
- Logistics
- Payment fees

Business Risk

Leadership may focus on wrong operational priorities without proper leakage analysis.

Recommended Actions

- Prioritize highest leakage source
- Build leakage monitoring dashboards
- Improve operational cost visibility
- Implement cost reduction initiatives

TASK 12: Product Profit Ranking

Business Objective

To identify top-performing and low-performing products.

GAP Identified

A small group of products may contribute most of the total profit.

Business Risk

Low-performing inventory may:

- Consume capital
- Increase storage costs
- Reduce operational efficiency

Recommended Actions

- Focus on high-profit products
- Optimize product assortment
- Improve inventory prioritization
- Reduce weak-margin inventory

TASK 13: Category Margin Stability

Business Objective

To evaluate pricing and cost consistency across categories.

GAP Identified

Certain categories may show:

- Unstable margins
- Inconsistent pricing
- Cost fluctuations

Business Risk

Unpredictable margins reduce forecasting accuracy and profitability control.

Recommended Actions

- Improve pricing governance
- Stabilize supplier costs
- Reduce pricing inconsistency
- Improve margin monitoring

TASK 14: High-Risk Customers

Business Objective

To identify customers causing excessive operational losses.

GAP Identified

A small number of customers may create:

- Excessive returns
- High reverse logistics costs
- Profit leakage

Business Risk

Return abuse and fraudulent behavior may increase operational burden.

Recommended Actions

- Implement customer risk scoring
- Strengthen return policy controls
- Monitor high-return customers
- Introduce fraud detection mechanisms

TASK 15: Executive Profitability Summary

Business Objective

To provide leadership-level profitability diagnosis.

GAP Identified

Despite strong sales, multiple hidden leakages reduce final net profit.

Major leakage drivers:

- Discounts
- Returns
- Logistics cost

- Payment gateway fees

Business Risk

Revenue growth without profitability can create long-term financial instability.

Recommended Actions

- Improve profit monitoring systems
- Build executive KPI dashboards
- Reduce operational leakage
- Optimize cost structure
- Focus on sustainable profitability

Overall Business GAP Findings

Major Problems Identified

1. Revenue-Profit Gap

High sales do not guarantee strong profitability.

2. Discount Dependency

Frequent promotions may reduce margin sustainability.

3. Return-Driven Leakage

Returns significantly impact revenue and logistics efficiency.

4. Operational Cost Burden

Shipping and payment fees silently reduce profits.

5. Product-Level Profit Imbalance

A small number of products contribute most profits.

6. Customer Risk Concentration

Certain customers create disproportionate operational losses.

Strategic Recommendations

Profitability Optimization

- Improve margin monitoring
- Focus on high-profit products
- Reduce weak-margin inventory

Discount Control

- Reduce unnecessary promotions
- Implement targeted discounting
- Monitor discount ROI

Return Reduction

- Improve quality control
- Enhance product descriptions
- Optimize packaging and logistics

Logistics Optimization

- Introduce minimum order value
- Improve warehouse allocation
- Reduce reverse logistics cost

Payment Cost Management

- Promote low-fee payment methods
- Negotiate better gateway fees
- Monitor transaction cost leakage

Customer Risk Management

- Track high-return customers
- Implement return abuse detection
- Improve customer segmentation

Final Conclusion

This Marketplace Revenue Leakage & Profitability GAP Analysis demonstrates that strong revenue alone is not enough to ensure business success.

The analysis reveals those hidden operational leakages such as:

- Discounts
- Returns
- Logistics costs
- Payment gateway fees

can significantly reduce overall profitability.

The project successfully identifies:

- Major business inefficiencies
- Profit leakage sources
- High-risk operational areas
- Product and customer-level profitability issues

By implementing the recommended strategic improvements, the marketplace can:

- Improve profit margins
- Reduce operational leakage
- Enhance financial stability
- Optimize customer and product strategies
- Achieve sustainable long-term growth

This analysis provides a strong foundation for:

- Executive decision-making
- Business intelligence reporting
- Power BI dashboard development
- Revenue optimization strategy
- Marketplace performance management